“In January 1995, I thought the end of the uptrend was coming, so I started looking at the fundamentals.” He was so engrossed with his research on the company that he failed to notice a pattern forming. Over drinks with his fund manager friends, he shared with them what he had dug up about the company. The news was not good.

“So that's why it's making a broadening top!” one remarked. Henry furrowed his brow and pictured the price action in his mind, and there it was, a broadening top, just like his friend had said.

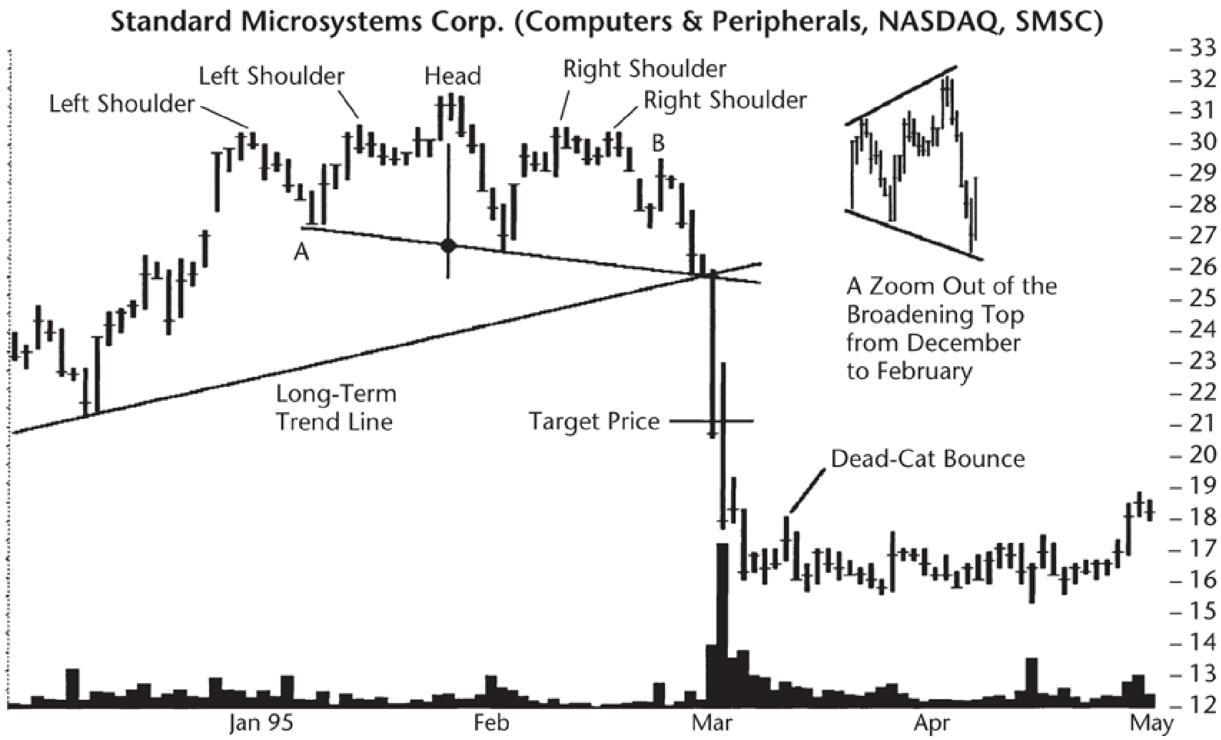

Figure 42.6 A complex head-and-shoulders top. For the measure rule, compute the difference between the highest high and the neckline, measured vertically, and subtract the result from the breakout price. A broadening top appears from December through February and a dead-cat bounce follows.

The next day Henry pulled up the chart and looked at it more closely. He saw higher highs and lower lows (see the zoom-out in Figure 42.6), characteristic of a broadening top. Coupled with his fundamental research on the company, he knew it was nearing time to sell, but not yet. He wanted to sell at the top, when price tagged the top trendline.